DE–3788 **11**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION,
MAY 2012.

First Semester

PRINCIPLES OF BANK MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the principles of Management?

2. How bankers can influence the environment?

3. Describe the techniques of operational planning.

4. What are tactical decisions? Explain.

5. Enumerate the merits and limitations of matrix organization.

6. What types of leadership is suitable for bank management?

7. Explain the need for RBI control over banks.

8. State the selection criteria used in banks.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Examine the functions of bank management.

10. "Management by objectives is not a technique of management but a latest philosophy of management". Do you agree? Discuss.

11. What do you mean by decentralization? Explain the factors determining the decentralization of authority of a bank.

12. "Budgeting control still continues to be an effective technique of managerial control". — Explain.

13. What do you mean by profitability in banks? Explain the measures adopted by banks to augment profitability.

14. Define training. Explain the various types of training in banks.

15. What is motivation? As a branch manager, how would you motivate the employees of your bank?

DE–3789 **12**

DISTANCE EDUCATION

M.B.A. (Banking and Finance) DEGREE EXAMINATION, MAY 2012.

First Semester

ORGANISATIONAL BEHAVIOUR

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the basic elements of Organisational Behaviour?

2. State the industrial need for Organisational Behaviour.

3. Is personality limited to external appearance?

4. What are the stages of perception?

5. What do you mean by downward communication?

6. Identify the sources of stress.

7. Is organisational culture static?

8. How do you justify the organisational changes?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the various approaches to organisational behaviour.

10. How do you link the attitudes to organisational behaviour?

11. Discuss the various styles of leadership and its suitability to the industries.

12. Describe the ways and means for effective use of power.

13. What is the role of group dynamics in making personnel policies?

14. Explain the factors which determine the organisational culture.

15. Discuss the growth of organisational development in the recent part.

DE–3790 **1.3**

DISTANCE EDUCATION

M.B.A(B and F) DEGREE EXAMINATION, MAY 2012.

First Semester

MANAGERIAL ECONOMICS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. 'Managerial Economics facilitates forward planning and decision making' – Discuss.

2. Explain briefly the role played by the managerial economist.

3. State the different types of demand.

4. Explain the significance of cost function.

5. Distinguish between cost control and cost reduction.

6. Bring out the salient features of production function.

7. What is profit? Explain how profit is measured.

8. Define Business cycle. Point out the stages involved in business cycle.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions

9. Discuss the scope of Managerial Economics.

10. Explain the various factors influencing demand for a commodity.

11. Analyse the internal and external economies of scale.

12. Show diagrammatically how price and output are determined under perfect competition.

13. What is price discrimination? Narrate the objections to the price discrimination.

14. Summarise the applications of Cost volume profit analysis.

15. 'The study of balance of payments is helpful for managerial decision' – Elucidate.

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2012.

First Semester

FINANCIAL SERVICES AND INSTITUTIONS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the objectives of financial services.

2. What are the strengths and weaknesses of financial markets?

3. Highlight the need for non fund based financial services.

4. Discuss the various types of mutual funds.

5. Write a note on 'Securitisation'.

6. What strategies are to be followed for promoting consumer finance?

7. Explain the process of portfolio management.

8. Enumerate the merits of foreign exchange broking.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Elaborate the recent trends in financial services in India.

10. Narrate the merits and demerits of leasing.

11. Why mutual funds are not popular in India? How will you rectify this problem?

12. Explain the role of credit cards in the development of customer services.

13. Describe the functions of merchant banking services in India.

14. Discuss the features and functions of credit rating services.

15. State and explain the regulations framed by RBI to control NBFCS.

DE–3792 **15**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2012.

First Semester

BUSINESS LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the rules regarding consideration.

2. Explain discharge of contract by mutual agreement.

3. Discuss the duties and rights of bailee.

4. What are the rights of an agent?

5. Distinguish between condition and warranty.

6. What is the need for registration of a partnership firm?

7. Explain the features of a cheque.

8. Differentiate between life insurance and general insurance.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain different kinds of a contract.

10. Explain the position of minor partner in a partnership firm.

11. What are the implied conditions? Explain with example.

12. What are the features of a contract of guarantee?

13. What are the functions of insurance?

14. Explain the characteristics of a company.

15. Explain the structure of Consumer Redressal Forum in India and explain what are the remedies available for the redressal of consumer grievances.

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DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2012.

Second Semester

FINANCIAL ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define accounting. What are its functions?

2. What are subsidiary books? Explain different types of subsidiary books.

3. Journalise the following transactions :

2010

Jan.	1	Started business with a capital of Rs. 5,500
	3	Purchased goods from Mr. Ganesh Rs. 2,000
	5	Sold goods to Mr. Kumar Rs. 1000
	7	Cash sales Rs. 1,800
	8	Purchased furniture for Rs. 1,000
	10	Received interest Rs. 300
	12	Withdrew cash from bank for personal use Rs. 500
	15	Deposited cash into bank Rs. 2,500

4. Nataraja keeps his books by single Entry system. His position on 1 January 2010 was as follows. Cash in hand Rs. 300; Cash at Bank Rs. 3,750; Stock Rs. 16,000; Furniture Rs. 2,250; Sundry debtors Rs. 10,500; Plant and machinery Rs. 24,500; Sundry creditors Rs. 32,000.

   On 31st December, 2010 his position was as follows

   Cash in hand Rs. 375; Stock Rs. 23,750; Furniture Rs. 2,125; Debtors Rs. 18,300; Plant and Machinery Rs. 33,750; Creditors Rs. 35,000. Bank over draft Rs. 13,000.

   During the year, Nataraj withdrew from the business for his private use Rs. 20,000 and introduced a further capital of Rs. 15,000. Find out, the profit made during the year 2010.

5. How will you treat the following items in the company's balance sheet?

   (a) Unclaimed dividend

   (b) Preliminary expenses

   (c) Provision for income-tax

   (d) Bills Receivable.

6. Prepare Form 'A' of the Third Schedule under Section 29 of the Banking Regulation Act.

7. Explain amalgamation, absorption and reconstruction with examples.

8. Enumerate the various applications of computer in accounting.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the various accounting concepts and conventions.

10. The following is the Trial Balance of D Ltd., as on 31.03.2010.

	Rs.		Rs.
Stock	75,000	Purchases returns	10,000
Purchases	2,45,000	Sales	3,40,000
Wages	30,000	Discount	3,000
Carriage inwards	950	P and L	
Furniture	17,000	Appropriation a/c	15,000
Salaries	7,500	Share capital	1,00,000
Rent	4,000	Creditors	17,500
Sundry expenses	7,050	General reserve	15,500
Dividend for		Bills payable	7,000
1999–2000	9,000		
Debtors	27,500		
Plants and Machinery	29,000		
Cash and Bank	46,200		
Patents	4,800		
Bills receivable	5,000		
	5,08,000		5,08,000

Prepare final accounts after adjusting the following :

(a) Stock on 31.3.2010 Rs. 88,000

(b) Depreciate Plant and Machinery at 15% Furniture at 10% and Patents at 5%

(c) Outstanding rent Rs. 800 and outstanding salaries Rs. 900

(d) Make a provision for bad debts amounting to Rs. 510

11. From the following particulars for the year ending 31st. December, 2010, prepare Trading, Profit & Loss A/c and a Balance Sheet as on that date.

Debit.	Rs.	Credit.	Rs.
Salaries	5,500	Creditors	9,500
Rent	1,300	Sales	32,000
Cash	1,000	Capital	30,000
Debtors	40,000	Loans	10,000
Trade expenses	600		
Purchases	25,000		
Advances	2,500		
Bank balance	5,600		
	81,500		81,500

Adjustments

(a) Closing stock is Rs. 9,000.

(b) Outstanding salary is Rs. 500.

(c) Rent prepaid Rs. 200.

(d) Calculate 5% interest on capital.

(e) Bad debt is Rs. 1,000.

12. M/S Big Ltd. is a company with an authorised capital of Rs. 5,00,000 divided into 5000 equity shares of Rs. 100 each. On 31.12.2010, 2500 shares were fully called up. The following are the balances extracted from the ledgers of the company as on 31.12.2010.

	Rs.
Stock	50,000
Sales	4,25,000
Purchases	3,00,000
Wage (productive)	70,000
Discount allowed	4,200
Discount received	3,150
Insurance up to 31.3.2006	6,720
Salaries	18,500
Rent	6,600
General expenses	8,950
P and L a/c	6,220
Printing and stationery	2,400
Advertisement	3,800
Bonus	10,500
Debtors	38,700
Creditors	35,800
Plant and Machinery	80,500
Furniture	17,100
Cash and bank	1,34,700

Reserve	25,000
Loan from MD	15,700
Bad debts	3,200
Calls in arrear	5,000

Additional informations :

(a) Closing stock Rs. 91,500

(b) Depreciation to be charged on Plant and furniture at 15% and 10% respectively.

(c) Outstanding liabilities wages Rs. 5,200, Salary Rs. 1,200, Rent Rs. 600.

(d) Dividend @ 5% on paid up share capital is to be provided.

Prepare Trading and Profit and Loss account for the year ended 31,12.2005 and balance sheet as on that date.

13. From the following information, prepare the profit and loss account of ABC Bank Ltd., for the year ended 31st March, 2010 :

	Rs
Interest on loan	2,59,000
Interest, on fixed deposits	2,75,000
Rebate on bills discounted required	49,000
Rent and taxes	18,000
Interest on overdraft	1,54,000

	Rs
Directors fees	3,000
Commission	8,200
Establishment	54,000
Discount on bills discounted	1,95,000
Interest on cash credit	2,23,000
Interest on current account	42,000
Auditor's fees	1,200
Interest on savings bank deposit	68,000
Postage and telegram	1,400
Printing and stationery	2,900
Sundry expenses	1,700

Bad debts to be written-off amounted to Rs. 40,000. Provision for taxation may be made at 55%. Balance of profit, from last year was Rs. 1,20,000. Transfer 20% of profits to statutory reserve and provide Rs. 20,000 for dividends.

14. A Ltd and B Ltd. have agreed to amalgamate. A new company C Ltd. has been formed to take over the combined concern as on 31st December 2010. After negotiation, the assets of the two companies have been agreed as shown in the following sheet.

Balance sheets

Liabilities	A Ltd.	B Ltd.	Assets	A Ltd.	B Ltd.
	Rs.	Rs.		Rs.	Rs.
Share capital in			Land and Buildings	3,00,000	5,00,000
Rs. 10 each	5,00,000	10,00,000	Plant and Machinery	2,50,000	2,00,000
Reserve fund	50,000	–	Goodwill	50,000	–

Liabilities	A Ltd. Rs.	B Ltd. Rs.	Assets	A Ltd. Rs.	B Ltd. Rs.
Profit and loss	50,000	50,000	Patents	–	1,10,000
Creditors	50,000	80,000	Stock	20,000	1,50,000
			Sundry debtors	20,000	1,20,000
			Bank	10,000	50,000
	6,50,000	11,30,000		6,50,000	11,30,000

The assets and liabilities will be taken over by C Ltd. It issued 50,000 shares of Rs. 10 each to the public for raising working capital. Assuming purchase price is to be settled in fully paid shares of Rs. 10 each. Compute the purchase consideration payable. Give journal entries and balance sheet in the books of 'C' Ltd.

15. Explain the history of evolution and development of computers.

DE–3794 **22**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2012.

Second Semester

BANKING LAW AND PRACTICE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

1. Why banks were nationalized in India?

2. Explain the obligations of a banker to honour a cheque.

3. Explain the factors determining cash reserves of a bank.

4. Explain different types of deposits collected by the bank in India.

5. When can a banker refuse the payment of a cheque?

6. Explain the principles of sound lending.

7. What is Negotiable Instrument? Explain different types of Negotiable Instruments.

8. Explain the statutory protection of a collecting banker.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the functions of commercial Banks in India.

10. Explain the relationship between the banker and the customer.

11. Explain the legal formalities in opening and closing of customer's account with the banker.

12. What are the precautionary measures to be taken before advancing against the securities?

13. What are the points to be considered before passing a cheque for payment. ?

14. Distinguish between cheque and bill of exchange.

15. What is endorsement? Explain different kinds of endorsement.

DE–3795 **23**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2012.

Second Semester

CENTRAL BANKING AND MONETARY MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the working of Indian money market.

2. 'Central bank is an agent and adviser to the government' – Discuss.

3. Why is RBI considered as controller of credit? Discuss.

4. Assess the role of central bank in a developing economy.

5. Are the objectives of monetary policy conflicting? Explain.

6. Write a note on central board, local boards and departments in central office of RBI.

7. Explain the rationale of credit planning in India.

8. Bring out the RBI's role in providing industrial finance.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

Each answer shall not exceed 5 pages.

9. Explain the constituents of money market.

10. Describe the functions of a central bank of an economy.

11. Discuss the quantitative and qualitative credit control measures adopted by RBI.

12. Outline the broad objectives of monetary policy. State its efficacy.

13. Write an elaborate note on training of banking personnel and banking education.

14. What are Non-banking institutions? How are they regulated?

15. Discuss the promotional functions performed by Reserve Bank of India.

DE–3796 **24**

DISTANCE EDUCATION

M.B.A. (B AND F) DEGREE EXAMINATION,
MAY 2012.

Second Semester

RURAL BANKING

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the functions of cooperative credit institutions.

2. Write the problems of commercial banks in extending credit to rural areas.

3. How are poverty alleviation programmes in India implemented?

4. Explain the characteristic features of 20 point Economic Programme.

5. Describe the scope of bio-gas programme.

6. Explain the functions of lead bank officers.

7. What are the features of District Credit Plan?

8. Explain the role of DIC in developing rural areas.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the various sources of finance in rural areas.

10. Describe the problems of Regional Rural Banks in extending agricultural credit.

11. Explain the various schemes available for training the Rural Youth in Self Employment.

12. Explain the role of Rural Banks in implementing bio-gas programme.

13. Explain in detail the objectives of lead bank schemes.

14. How does the Reserve bank of India support the rural development? Explain.

15. Explain the role of NABARD in rural development.

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DE–3797 **25**

DISTANCE EDUCATION

M.B.A. (B& F) DEGREE EXAMINATION, MAY 2012.

Second Semester

BUSINESS ENVIRONMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is Business Environment? State the importance of scanning the environment.

2. Explain the nature of business environment.

3. Discuss the relationship between business and environment.

4. Explain the main features of Indian licensing policy.

5. Explain the need for control of capital issues.

6. Discuss the functions of a central bank.

7. Define planning and explain different steps involved in the process of planning.

8. What are the main characteristics of liberalization?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the factors that affect the business environment.

10. Write a detailed note on socio-economic problems of India.

11. Discuss the advantages and disadvantages of FDI.

12. Discuss the salient features of New EXIM Policy.

13. Discuss the banking and credit structure in the Indian Banking Sector.

14. Explain the role of commercial banks in uplifting small scale industries.

15. Explain the stages involved in the economic transition of globalisation.

DE–3798 **31**

DISTANCE EDUCATION

M.B.A. (B&F) DEGREE EXAMINATION, MAY 2012.

Third Semester

FINANCIAL MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)
Answer any FIVE questions.
All questions carry equal marks.

1. Explain the meaning and scope of financial management.

2. Highlight any two techniques of financial statement analysis.

3. Distinguish between fund flow statement and cash flow statement.

4. Discuss the importance of capital budgeting.

5. A project costs Rs. 15,60,000 and yields annually a profit of Rs. 2,70,400 after depreciation of 12% p.a but before tax @ 25% p.a.

   Calculate pay back period.

6. Describe the application of marginal costing in various fields of managerial decisions.

7. Narrate the various types of working capital and its significance.

8. What factors are to be considered in the determination of cash needs of a firm?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the functions of financial managers.

10. The following information is given about a limited company:

Profit after tax @ 60% Rs. 3,00,000

Market price of equity share Rs. 50

Depreciation Rs. 40,000.

Equity dividend paid at 20%, equity capital of Rs. 10 per share Rs. 4,00,000 and 9% preference share capital Rs. 2,00,000. Calculate

(a) Dividend yield on equity shares

(b) Earning per share

(c) Price earning ratio.

11. Project 'X' initially costs Rs. 25,000. It generates the following cash flows :

Year	Cash in flow Rs.	PV of Re. 1 at 10%
1	9,000	0.909
2	8,000	0.826
3	7,000	0.751
4	6,000	0.683
5	5,000	0.621

Taking the cut off rate as 10%, suggest whether the project should be accepted or not.

12. Sales Rs. 1,00,000, profit Rs. 10,000, variable costs 70% find out

(a) fixed cost

(b) P/V ratio

(c) break even point

(d) sales required to earn a profit of Rs. 40,000.

13. Calculate :

(a) operating leverage

(b) financial leverage

(c) combined leverages from the following information

	Rs.		Rs.
Sales	50,000	Variable costs	25,000
Fixed costs	15,000	Interest	5,000

14. Super star ltd decides to liberalise credit to increase its sales. The liberalised credit policy will bring additional sales of Rs. 3,00,000. The variable cost will be 60% of sales and there will be 10% risk for non-payment and 5% collection costs.

Will the company benefit from the new credit policy?

15. State and explain the determinants of working capital requirement of a firm.

DE–3799 **32**

DISTANCE EDUCATION

M.B.A.(B&F) DEGREE EXAMINATION, MAY 2012.

Third Semester

PROJECT FINANCE

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is project? Discuss the stages involved in project cycle.

2. Explain the role of consultants in project management.

3. Define venture capital. State its forms.

4. State the need for project finance.

5. Write a note on appraisal of managerial and technical aspects of project.

6. Narrate the utility of Break even analysis.

7. Explain briefly the social cost benefit analysis.

8. What are the objectives of project appraisal?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

Each answer shall not exceed 5 pages.

9. Discuss in detail the steps involved in project formulation.

10. Explain the sources of finance for a project.

11. Enumerate the factors determining working capital requirements.

12. State and explain the process of lending for a project.

13. How are financial aspects evaluated? Explain.

14. Explain the techniques of project appraisal.

15. What are the causes of industrial sickness? Suggest remedial measures.

DE–3800 **33**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2012.

Third Semester

INTERNATIONAL BANKING AND FOREIGN EXCHANGE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define foreign exchange. Explain the administrative procedure of foreign exchange.

2. Explain the concept of full convertibility.

3. State the salient features of SWIFT.

4. Mention any five India's foreign exchange regulations.

5. Define pegging. State how it is working.

6. Point out the features of foreign travellers cheques.

7. Explain the concept of collection of export bills.

8. What is loan syndication? Explain its features.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

Each answer shall not exceed 5 pages.

9. What are the different function's of foreign exchange department?

10. Explain briefly the foreign exchange transactions.

11. Discuss the broad objectives of exchange control.

12. State and explain the types of letter of credit.

13. Narrate the methods of international payments.

14. Explain the significance of financing foreign trade.

15. Discuss the role played by the ECGC.

DE–3801 **34**

DISTANCE EDUCATION

M.B.A. (Banking and Finance) DEGREE EXAMINATION, MAY 2012.

Third Semester

MANAGEMENT INFORMATION SYSTEM

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks

1. Discuss Decision Support System as one of the elements of MIS.

2. How will you test a system?

3. Explain the structure of a MIS.

4. Write short notes on Video-conferencing and Interactive Video.

5. Differentiate between information resource management and MIS.

6. What are the on-line information services?

7. What are the components of Client/Server Computing?

8. Explain Enterprise Resource Planning System.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What are the basic requirements for installation of MIS in an organization?

10. Explain the system life cycle in detail.

11. Explain different types of networks.

12. Explain the functions of Electronic Data Interchange.

13. Discuss the working principle of client/server computing.

14. Write short notes on Artificial Intelligence and Expert System.

15. Explain the different applications of e-commerce.

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DE–3802 **35**

DISTANCE EDUCATION

M.B.A. (Banking and Finance)DEGREE EXAMINATION, MAY 2012.

Third Semester

COMPUTERS AND BANKING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the characteristic features of computers.

2. Explain Binary System. Why is it used in computers?

3. Explain peripheral devices used in computers.

4. What are the functions of an operating system?

5. Differentiate between compilers and interpreters.

6. What are the benefits of LAN type of networks?

7. What are the features of intranet?

8. What are the functions of ATMs?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain different generations of computers.

10. Explain the working principle of a computer with a diagram.

11. What are the features of high level language?

12. What are the reasons for computerization of banks in India?

13. Explain the process of inter-branch reconciliation.

14. Discuss the operational problems in relation computers in banks.

15. Explain any input devices used in computers.

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DE–3803 **36**

DISTANCE EDUCATION

M.B.A. (Banking and Finance) DEGREE EXAMINATION, MAY 2012.

Third Semester

QUANTITATIVE METHODS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the relevance of marginal average and total cost to profit.

2. What are the uses of quantitative analysis in the management areas?

3. What is LPP? Explain different parts of an LPP.

4. A diet conscious housewife wishes to ensure certain minimum intake of vitamins A, B and C for the family. The minimum daily requirements are A 30, B 20 and C 16 units. For the supply of these three vitamins, the housewife relies on two fresh foods. The first one provides 7, 5 and 2 units of the three vitamins per gram respectively and the second one provides 2, 4 and 8 units of the three vitamins per gram respectively. The first food costs Rs. 3 per gram and the second one Rs. 2 per gram. How many grams should the housewife buy to keep her food as low as possible? Formulate the above problem into an LPP.

5. Explain the relevance of probability theory to management decisions.

6. What are the applications of simulation?

7. Explain Decision Tree with an example.

8. Write a note on Sensitivity Analysis.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain different types of functions.

10. Solve the following LPP using Simplex method :

Maximise $Z = 4x_1 + 10x_2$

Subject to :

$$2x_1 + x_2 \leq 50$$
$$2x_1 + 5x_2 \leq 100$$
$$2x_1 + 3x_2 \leq 90$$
$$x_1, x_2 \geq 0.$$

11. Find an economic solution for the following Transportation Problem :

		Destination				
		D_1	D_2	D_3	D_4	Available
Origin	O_1	11	8	5	7	125
	O_2	15	4	13	9	225
	O_3	12	16	11	13	175
	O_4	14	14	9	12	155
Required		180	160	150	190	

12. A company has to choose any one of the following. The amount of estimated sales and the estimated revenue therefrom are given below :

Scheme	Revenue		
	Estimated amount of loan (Rs. in crores)		
	200	100	20
Printer	40	35	15
Laser Printer	60	45	25
Copier Printer	60	55	35

Suggest the product to be adopted using (a) Maximin Criterion (b) Minimax Criterion (c) Maximax Criterion and Laplace Criterion.

13. A confectioner sells confectionery items. Previous experience indicates the demand per week (in hundred kilogram) with frequency is given below :

Weekly demand :	0	5	10	15	20	25
Probability :	.07	.08	.20	.45	.15	.05

Consider the following sequence of random numbers:

35 52 90 13 23 73 34 57 35 83

Simulate the demand for the next 10 weeks. Find out the average weekly demand for the confectionery on the basis of the simulated data.

14. Suppose that 80% of all tourist who come to India, will visit Delhi, 70% of them will visit Mumbai and 60% of them will visit both Delhi and Mumbai. What is the probability that a tourist coming to India will visit Delhi or Mumbai or both. What is the probability that he will visit neither city?

15. Explain different types of Linear Programming problems.

DE–3804 **41**

DISTANCE EDUCATION

M.B.A (BANKING AND FINANCE) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

BANK MARKETING

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the objectives of banking business in India?

2. "Customer is King" in bank premises–Discuss.

3. What are the constraints on product developments in banks?

4. What does price mean for a bank? and How can price be fixed in banks?

5. What is the need for organizing "Customer meets" by the banks?

6. What are the importance of Deregulation of interest rates in banks?

7. Write short notes on:

   (a) SWOT Analysis and

   (b) Sectoral Banking.

8. How do you select a suitable location for a bank branch?

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Describe the different components of Bank marketing mix.

10. What are the factors to be considered while selecting a location for a bank branch?

11. Explain different processes for the development of a product in bank marketing.

12. What is Promotional mix for bank marketing? and briefly explain its components.

13. What is Customer Relationship Management (CRM) in banks? and explain its functions.

14. Explain different marketing strategies adopted by the banks in rural areas.

15. Explain the monetary and the non monetary benefits given to bank employees.

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DE–3805 **42**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

INVESTMENT ANALYSIS AND PORTFOLIO MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define investment. Why investments are getting popularity?

2. Distinguish between investment and speculation.

3. Compare and contrast the relationship between Return analysis and Risk analysis.

4. List out the assumptions of technical analysis.

5. What do you mean by chart pattern? Explain.

6. ABC Ltd. equity share is currently sold at Rs. 70 per share. The finance manager of ABC Ltd. expects a constant growth rate of 5% and at end of year dividend of Rs. 4.20 per share.

   (a) If an investor requires a rate of return of 10%, should he buy the share?

   (b) What is the expected rate of return?

7. What is portfolio construction? List out its objectives.

8. Explain the assumptions of Random walk theory.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Enumerate the essentials of a good investment programme.

10. Give a detailed account of sources of investment information.

11. Explain the factors responsible for causing internal risks in investments.

12. Discuss the various approaches to the study of investment analysis.

13. Explain the concept and assumptions of Markowitz theory.

14. What is CAPM? Discuss its assumptions.

15. From the following particulars related to two portfolios, find out Sharpe's and Treynor's index :

Portfolio	Return	Standard Deviation	Riskless rate of return	Beta coefficient
X	20%	4%	9%	0.50
Y	24%	8%	9%	1.00

DE–3806 **43**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

INVESTMENT AND DERIVATIVES MARKET

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the concept of Debt market.
2. Explain the terms risk and return structure.
3. What are Bond swaps? Explain.
4. What are the features of equity investment?
5. State the assumptions of Zero Growth model.
6. Explain briefly the concept of Index options.
7. What are future contracts? Explain.
8. Narrate the instruments of government securities market.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the nature and varieties of debt instruments.
10. Explain the importance of Debt Portfolio Management.

11. Enumerate the factors governing equity market growth.

12. State and explain the different types of options with suitable illustration.

13. Explain the significance of future market.

14. Critically examine Multiple growth model.

15. Summarise the operations of Government securities market.

DE–3807 **44**

DISTANCE EDUCATION

M.B.A. (Banking and Finance) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

MUTUAL FUND MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are open ended schemes?

2. Highlight the portfolio classification.

3. Write a note on Trust Deed.

4. Enlist the rights of sponsors.

5. What are the issues involved in designing a mutual fund scheme?

6. How will you compute NAV?

7. What are the limitations of a Public Sector Mutual Fund?

8. Bring out the problems faced by US 64.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Discuss the contribution of mutual funds in the Indian Economic Development.

10. How will you classify the schemes of mutual fund?

11. Explain the constitution of mutual funds.

12. Describe the investment strategies adopted by a mutual fund.

13. Evaluate the performance of mutual funds in India.

14. What are the challenges faced by the UTI as a pioneer in Mutual Fund?

15. Analyse the role of SEBI in regulating mutual funds.

DE–3808 **45**

DISTANCE EDUCATION

M.B.A.(B&F) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

MERCHANT BANKING

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the scope of merchant banking activities.

2. Explain loan syndication with its features.

3. What are the pre-issue activities?

4. What are the functions of a lead manager?

5. Explain the features of bride loan.

6. What are different types of mergers?

7. What are the benefits of mutual funds?

8. Explain the operation of factoring.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What are the functions of merchant bankers?

10. Explain the role of SEBI in regulating merchant banking industry.

11. What are the steps to be taken by the issuing company and the lead manager to market the corporate securities?

12. Explain the procedure for listing of securities in Stock Exchange.

13. Explain the role of merchant bankers in the case of mergers.

14. Explain different types of mutual funds.

15. Explain the growth of merchant banking in India.

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